

LII > U.S. Code > Title 26 > Subtitle A > CHAPTER 1 > Subchapter G
> PART I > **§ 535**

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Title

Section

Go!

26 U.S. Code § 535 - Accumulated taxable income

U.S. Code Notes

(a) DEFINITION

For purposes of this subtitle, the term “accumulated taxable income” means the taxable income, adjusted in the manner provided in subsection (b), minus the sum of the dividends paid deduction (as defined in section 561) and the accumulated earnings credit (as defined in subsection (c)).

(b) ADJUSTMENTS TO TAXABLE INCOME

For purposes of subsection (a), taxable income shall be adjusted as follows:

(1) TAXES

There shall be allowed as a deduction Federal income and excess profits taxes and income, war profits, and excess profits taxes of foreign countries and possessions of the United States (to the extent not allowable as a deduction under [section 275\(a\)\(4\)](#)), accrued during the taxable year or deemed to be paid by a domestic corporation under section 960 for the taxable year, but not including the accumulated earnings tax imposed by section 531 or the personal holding company tax imposed by section 541.

(2) CHARITABLE CONTRIBUTIONS

The deduction for charitable contributions provided under [section 170](#) shall be allowed without regard to section 170(b)(2).

(3) SPECIAL DEDUCTIONS DISALLOWED

The special deductions for corporations provided in part VIII (except section 248) of subchapter B (section 241 and following, relating to the deduction for dividends received by corporations, etc.) shall not be allowed.

(4) NET OPERATING LOSS

The net operating loss deduction provided in [section 172](#) shall not be allowed.

(5) CAPITAL LOSSES

(A) In general

Except as provided in subparagraph (B), there shall be allowed as a deduction an amount equal to the net capital loss for the taxable year (determined without regard to paragraph (7)(A)).

(B) Recapture of previous deductions for capital gains

The aggregate amount allowable as a deduction under subparagraph (A) for any taxable year shall be reduced by the lesser of—

- (i)** the [nonrecaptured capital gains deductions](#), or
- (ii)** the amount of the accumulated earnings and profits of the corporation as of the close of the preceding taxable year.

(C) Nonrecaptured capital gains deductions

For purposes of subparagraph (B), the term "[nonrecaptured capital gains deductions](#)" means the excess of—

- (i)** the aggregate amount allowable as a deduction under paragraph (6) for preceding taxable years beginning after July 18, 1984, over

(ii) the aggregate of the reductions under subparagraph (B) for preceding taxable years.

(6) NET CAPITAL GAINS

(A) In general

There shall be allowed as a deduction—

(i) the net capital gain for the taxable year (determined with the application of paragraph (7)), reduced by

(ii) the taxes attributable to such net capital gain.

(B) Attributable taxes

For purposes of subparagraph (A), the taxes attributable to the net capital gain shall be an amount equal to the difference between—

(i) the taxes imposed by this subtitle (except the tax imposed by this part) for the taxable year, and

(ii) such taxes computed for such year without including in taxable income the net capital gain for the taxable year (determined without the application of paragraph (7)).

(7) CAPITAL LOSS CARRYOVERS

(A) Unlimited carryforward

The net capital loss for any taxable year shall be treated as a short-term capital loss in the next taxable year.

(B) Section 1212 inapplicable

No allowance shall be made for the capital loss carryback or carryforward provided in section 1212.

(8) SPECIAL RULES FOR MERE HOLDING OR INVESTMENT COMPANIES

In the case of a mere holding or investment company—

(A) Capital loss deduction, etc., not allowed

Paragraphs (5) and (7)(A) shall not apply.

(B) Deduction for certain offsets

There shall be allowed as a deduction the net short-term capital gain for the taxable year to the extent such gain does not exceed the amount of any capital loss carryover to such taxable year under section 1212

(determined without regard to paragraph (7)(B)).

(C) Earnings and profits

For purposes of subchapter C, the accumulated earnings and profits at any time shall not be less than they would be if this subsection had applied to the computation of earnings and profits for all taxable years beginning after July 18, 1984.

(9) SPECIAL RULE FOR CAPITAL GAINS AND LOSSES OF FOREIGN CORPORATIONS

In the case of a foreign corporation, paragraph (6) shall be applied by taking into account only gains and losses which are effectively connected with the conduct of a trade or business within the United States and are not exempt from tax under treaty.

(10) CONTROLLED FOREIGN CORPORATIONS

There shall be allowed as a deduction the amount of the corporation's income for the taxable year which is included in the gross income of a United States shareholder under section 951(a). In the case of any corporation the accumulated taxable income of which would (but for this sentence) be determined without allowance of any deductions, the deduction under this paragraph shall be allowed and shall be appropriately adjusted to take into account any deductions which reduced such inclusion.

(c) ACCUMULATED EARNINGS CREDIT

(1) GENERAL RULE

For purposes of subsection (a), in the case of a corporation other than a mere holding or investment company the accumulated earnings credit is (A) an amount equal to such part of the earnings and profits for the taxable year as are retained for the reasonable needs of the business, minus (B) the deduction allowed by subsection (b)(6). For purposes of this paragraph, the amount of the earnings and profits for the taxable year which are retained is the amount by which the earnings and profits for the taxable year exceed the dividends paid deduction (as defined in section 561) for such year.

(2) MINIMUM CREDIT

(A) In general

The credit allowable under paragraph (1) shall in no case be less than the amount by which \$250,000 exceeds the accumulated earnings and profits of the corporation at the close of the preceding taxable year.

(B) Certain service corporations

In the case of a corporation the principal function of which is the performance of services in the field of health, law, engineering, architecture, accounting, actuarial science, performing arts, or consulting, subparagraph (A) shall be applied by substituting "\$150,000" for "\$250,000".

(3) HOLDING AND INVESTMENT COMPANIES

In the case of a corporation which is a mere holding or investment company, the accumulated earnings credit is the amount (if any) by which \$250,000 exceeds the accumulated earnings and profits of the corporation at the close of the preceding taxable year.

(4) ACCUMULATED EARNINGS AND PROFITS

For purposes of paragraphs (2) and (3), the accumulated earnings and profits at the close of the preceding taxable year shall be reduced by the dividends which under section 563(a) (relating to dividends paid after the close of the taxable year) are considered as paid during such taxable year.

(5) CROSS REFERENCE

For limitation on credit provided in paragraph (2) or (3) in the case of certain controlled corporations, see section 1561.

(d) INCOME DISTRIBUTED TO UNITED STATES-OWNED FOREIGN CORPORATION RETAINS UNITED STATES CONNECTION

(1) IN GENERAL

For purposes of this part, if 10 percent or more of the earnings and profits of any foreign corporation for any taxable year—

(A) is derived from sources within the United States, or

(B) is effectively connected with the conduct of a trade or business within the United States,

any distribution out of such earnings and profits (and any interest payment) received (directly or through 1 or more other entities) by a United States-owned foreign corporation shall be treated as derived by such corporation from sources within the United States.

(2) UNITED STATES-OWNED FOREIGN CORPORATION

The term "United States-owned foreign corporation" has the meaning given to such term by section 904(h)(6).

(Aug. 16, 1954, ch. 736, [68A Stat. 180](#); [Pub. L. 85-866](#), title I, § 31, title II, § 205(a), Sept. 2, 1958, [72 Stat. 1631](#), 1680; [Pub. L. 87-403](#), § 3(b), Feb. 2, 1962, [76 Stat. 6](#); [Pub. L. 87-834](#), § 9(d)(2), Oct. 16, 1962, [76 Stat. 1001](#); [Pub. L. 88-272](#), title II, § 207(b)(4), Feb. 26, 1964, [78 Stat. 42](#); [Pub. L. 91-172](#), title IV, § 401(b)(2)(C), title V, § 512(f)(5), (6), Dec. 30, 1969, [83 Stat. 602](#), 641; [Pub. L. 94-12](#), title III, § 304(a), Mar. 29, 1975, [89 Stat. 45](#); [Pub. L. 94-455](#), title X, § 1033(b)(3), title XIX, §§ 1901(a)(74), (b)(20)(A), (32)(C), (33)(D), 1906(b)(13)(A), Oct. 4, 1976, [90 Stat. 1628](#), 1777, 1797, 1800, 1801, 1834; [Pub. L. 97-34](#), title II, § 232(a), (b)(1), Aug. 13, 1981, [95 Stat. 250](#); [Pub. L. 98-369](#), div. A, title I, §§ 58(b), 125(a), July 18, 1984, [98 Stat. 575](#), 647; [Pub. L. 99-514](#), title XII, § 1225(a), title XVIII, § 1899A(17), Oct. 22, 1986, [100 Stat. 2558](#), 2959; [Pub. L. 101-508](#), title XI, § 11801(c)(18), Nov. 5, 1990, [104 Stat. 1388-528](#); [Pub. L. 108-357](#), title IV, § 402(b)(1), Oct. 22, 2004, [118 Stat. 1492](#); [Pub. L. 109-135](#), title IV, § 403(n)(2), Dec. 21, 2005, [119 Stat. 2626](#); [Pub. L. 113-295](#), div. A, title II, § 221(a)(64), Dec. 19, 2014, [128 Stat. 4048](#); [Pub. L. 115-97](#), title I, §§ 13001(b)(5)(B), 14301(c)(4), Dec. 22, 2017, [131 Stat. 2098](#), 2222.)



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